CFO's Review

Financial Strength. Focused Execution. Sustainable Value Creation.

Fiscal year 2025 marked the first full year in which Savola operated with a streamlined capital structure and a sharpened strategic focus following the transformational steps completed in the prior year.

Wajid Usman Khan
Group Chief Financial Officer

Our priorities were clear: preserve financial strength, reinforce operating discipline and allocate capital to areas where we have scale, capability and long-term conviction.

Group revenue increased to ⃁ 26.1 billion, reflecting steady performance across both food and retail segments. Net income attributable to shareholders amounted to ⃁ 874 million, compared to ⃁ 9.97 billion in the prior year, which included the one-off gain from the distribution of the Almarai investment. On a normalized basis, adjusted net income rose to ⃁ 539 million from ⃁ 296 million in FY2024, underscoring improvement in underlying operating performance and earnings quality. Operating cash flow remained solid at ⃁ 1.07 billion, supporting continued investment in core operations while maintaining balance sheet discipline.

Strengthened Financial Position

The capital restructuring executed in the prior year materially reshaped the Group's financial foundation. During 2025, our focus was to consolidate these gains and embed financial discipline across the organization.

Total equity increased to ⃁ 6.47 billion at year-end. Borrowings declined significantly compared to historical levels. After deducting term deposits and investments in government Sukuk, net debt reflects a strengthened and manageable leverage aligned with the Group's long-term risk parameters.

Debt maturities are appropriately staggered, liquidity buffers remain sound and financial flexibility is materially stronger than in previous years.

Our capital allocation principles remain firmly anchored:

- Preserve balance sheet resilience
- Prioritize investment in core platforms
- Apply disciplined return thresholds
- Maintain flexibility through cycles

These principles guide funding, investment and portfolio decisions across the Group.

Food

Savola Foods Company operated in a year characterized by commodity price volatility and evolving global trade dynamics. Emphasis remained on procurement discipline, cost efficiency and operational consistency.

Core markets (Arabia and Egypt) continued to anchor performance, while higher-value categories contributed to improved portfolio balance. On a like-for-like basis, food volumes demonstrated resilience, supported by disciplined pricing and supply chain execution. Our approach remains centered on structural efficiency and sustainable margin stability rather than short-term expansion.

Retail

Panda Retail Company delivered revenue growth of 6.6% to ⃁ 11.3 billion, supported by measured store expansion and continued execution of the CXR program.

18 new stores were added during the year, net of closures, extending geographic reach while strengthening operational standards and customer engagement. Ongoing investment in digital capabilities further enhanced omni-channel positioning in a competitive market environment.

While competitive pricing pressures impacted margins, disciplined cost management and working capital oversight remained central priorities.

Turkey Strategic Repositioning

During the year, our edible oils business in Turkey was merged with a leading integrated agribusiness player, resulting in a 15% equity stake in the enlarged entity. The transaction was completed without cash outflow and resulted in a net gain of ⃁ 33.9 million.

This repositioning enhances capital efficiency, reduces stand-alone exposure to market volatility, and preserves participation in a structurally stronger and more integrated platform.

Risk Management and Financial Stewardship

Savola operates within a structured governance framework aligned with applicable regulatory requirements. Risk oversight, internal controls and disciplined financial management remain embedded across the organization.

We remain attentive to commodity movements, currency fluctuations and competitive dynamics, while applying balanced judgment in all material financial decisions.

Looking Ahead

Savola moves forward as a focused food and retail platform supported by a strengthened capital structure and clearer strategic alignment.

Our priorities remain consistent:

- Deepen our presence in core food categories
- Enhance operational efficiency across retail
- Preserve balance sheet strength
- Evaluate opportunities under disciplined return criteria

Savola enters its next phase with strengthened financial foundations, disciplined capital allocation and a focused operating mandate designed to deliver sustainable shareholder value over time.